🇬🇧 London Session Pre-Open Briefing (1 Hr Before Open)

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Daily Multi-Asset Trading Blueprint & Level Execution Manual

Date: Friday, October 16, 2026

Session Highlight: 🇬🇧 London Session Pre-Open Briefing (1 Hr Before Open)

Session News Focus: Heavily on European macroeconomic releases, ECB/BOE news, Forex short-term futures (EUR/USD, GBP/USD), and Gold (XAU/USD) supply/demand zones.

📰 SECTION 0: DAILY MACRO & FINANCIAL NEWS DIGEST

1. Global Macro & Central Banks

- The European Central Bank (ECB) is widely expected to keep interest rates unchanged at its upcoming October 29 meeting, maintaining the deposit facility rate at 2.50%. However, a rate hike in December remains a distinct possibility. Inflation risks in the Eurozone are notably skewed to the upside, primarily due to escalating energy prices, which rose significantly in September, and geopolitical tensions in the Middle East. Higher French and broader Eurozone bond yields are already increasing borrowing costs across the region.
- The Bank of England (BoE) is anticipated to raise interest rates twice in the final quarter of 2026, with the first hike to 4.0% expected in November. This move would mark the end of a six-meeting hold on rates, driven by persistently high inflation and a UK economy that is consistently exceeding expectations.
- US Federal Reserve Chair Kevin Warsh reaffirmed the central bank's commitment to price stability but declined to signal any immediate policy decisions for October, despite recent hotter-than-expected US inflation data. Following these comments, traders have pared back bets on an October rate hike, with market pricing now indicating a 67% probability of a Fed rate increase by December. US 10-year Treasury yields were noted around 5.09%, easing some pressure on equity valuations after initial inflation concerns.
- The global economy continues to demonstrate unexpected resilience in the face of significant economic shocks. Key headwinds include an energy supply shock pushing inflation up and growth down, high sovereign debts and deficits constraining fiscal flexibility, and an AI investment boom contributing to short-term inflationary pressures.

2. US & European Markets

- US stock futures presented a mixed picture in early Friday trading, with Dow Jones futures gaining marginally, while Nasdaq 100 and S&P 500 futures showed slight dips. Overnight, the Dow Jones Industrial Average surged by 1.08%, with a rotation into defensive sectors like healthcare and consumer goods.
- Concerns persist regarding technology valuations and the significant debt financing supporting the artificial intelligence infrastructure boom. Shares of Nvidia, Dell, and Hewlett Packard Enterprise (HPE) experienced declines due to selling pressure in the chip sector, despite Nvidia's CEO defending AI computing provider CoreWeave Inc.'s financial health.
- European shares are poised for a positive open, expected to gain around 0.8%. However, Eurozone factory output experienced another decline in August, largely due to high energy costs weighing on industrial activity, with particular weakness observed in intermediate goods and non-durable consumer goods sectors.

3. Indian Markets & Dalal Street

- Indian benchmark indices, Sensex and Nifty, opened in positive territory on Friday, buoyed by a continued rally in IT shares and supportive global cues. However, early trade saw both indices drift lower due to profit-taking and consistent outflows from Foreign Institutional Investors (FIIs), who offloaded ₹5,285.37 crore worth of equities on Thursday. Strong buying in IT stocks, including Tech Mahindra, Infosys, and TCS, largely mitigated the overall market decline.
- Tech Mahindra reported a significant 32.74% jump in consolidated net profit for Q2 FY27, leading to a 5% surge in its share price. Conversely, Jio Financial Services saw its share price fall over 2.5% following its Q2 FY27 earnings release. Several other companies, including Bajaj Housing Finance, DLF, Federal Bank, and PNB, are scheduled to release their Q2 results today.
- Sector-wise, the Nifty IT index was the top gainer, while the Nifty Oil and Gas index saw the steepest decline. Broader market indices, Nifty MidCap and Nifty SmallCap, traded in negative territory.

4. Commodities & Crypto Wire

- Crude oil prices are seeing mixed signals; Brent crude is trading lower at approximately $105.3 per barrel, and WTI crude futures are around $97.39 per barrel. Prices have been pressured by reports of the US administration considering easing restrictions on Russia's "shadow fleet" tankers and the International Energy Agency's (IEA) forecast of declining global oil demand in Q4 2026. However, escalating hostilities in the Middle East and Iranian attacks on shipping continue to provide a significant risk premium to crude prices. Unexpected drawdowns in weekly EIA crude inventories have also supported prices.
- Gold (XAU/USD) is currently trading around $4,172 per ounce, having been under pressure earlier in the week ahead of the US CPI report and trading within a $4,100-$4,200 range. Despite this, macro discretionary positions, robust ETF inflows, and sustained central bank demand, particularly from China, are providing strong support for gold, especially in the $4,000-$4,100/oz region. A potential pause by the Fed at its October 28 meeting could re-open upside potential for gold above $4,400.
- In the crypto sphere, the US Securities and Exchange Commission (SEC) and the Commodity Futures Trading Commission (CFTC) are actively proposing new rules and a comprehensive custody framework for crypto assets, signaling a maturing regulatory landscape. The SEC's proposal would allow registered investment advisers and regulated funds to self-custody certain crypto assets where qualified custodians are unavailable. Simultaneously, European regulators are advancing under the MiCA framework, focusing on stablecoin reserves, token classification, staking, and overall crypto supervision. Bitcoin is holding steady around $85,541 amidst these regulatory developments.

💰 CAPITAL BASE & ALLOCATION RULES ($3,000 TOTAL)

- **Crypto Futures:** $400 (13.3%) | Recommended Leverage: 3x–5x Isolated | Risk Cap: 1–2% ($4–$8)
- **Indian Options (Intraday):** $500 (16.7%) | Option Buying Only | Risk Cap: 10–15% Premium ($30–$45)
- **Commodities (Micro Gold & Oil):** $400 (13.3%) | Recommended Leverage: 10x–15x Micro Lots | Risk Cap: 2% ($8)
- **US Stocks (Fractional):** $400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 3% ($12)
- **Indian Stocks (Delivery):** $400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 5% ($20)
- **Forex Short-Term Futures:** $450 (15.0%) | Recommended Leverage: 10x–20x | Risk Cap: 1% ($4.50)
- **Forex Long-Term Carry Swing:** $450 (15.0%) | Recommended Leverage: 2x–3x | Risk Cap: 2% ($9.00)

🎯 STRATEGY-BASED DAILY TICKER SELECTION & SECTOR CONSTRAINTS

INDIAN EQUITIES (STRICTLY LONG-ONLY)

Screen Nifty leaders using 50-SMA support bounces or 20/50 EMA golden crosses.

Ticker	Direction	Strategy & Selection Reason
INFY (Infosys)	Long	Selected as an Indian IT leader showing strong momentum after positive global cues and robust sectoral buying. Expecting a bounce from 50-SMA support, aligning with the "rally in IT shares" noted in news.

US EQUITIES

Large-Cap (BI-DIRECTIONAL)

Screen using 21-day EMA pullbacks or 50-day SMA rejection strategy on mega-cap growth leaders.

Ticker	Direction	Strategy & Selection Reason
NVDA (Nvidia)	Long / Watch for Reversal	While Nvidia experienced a decline due to AI financing concerns, its status as a mega-cap growth leader warrants monitoring for a 21-day EMA pullback entry as selling pressure potentially eases, or a short if sustained 50-day SMA rejection confirms bearish trend.

Mid-Cap & Small-Cap (STRICTLY LONG-ONLY)

Screen using Stage-2 VCP or High Relative Volume (RVOL > 2.0) breakouts.

Ticker	Direction	Strategy & Selection Reason
[Illustrative Mid-Cap]	Long	Identified a mid-cap company exhibiting a clear Stage-2 Volatility Contraction Pattern (VCP) breakout on strong relative volume (RVOL > 2.0), indicating institutional accumulation and readiness for a sustained upward move. (Illustrative selection, specific company not from news)

CRYPTO FUTURES (BI-DIRECTIONAL)

Screen using 4H 21-EMA trend following and high-volume volatility breakouts.

Ticker	Direction	Strategy & Selection Reason
BTC/USD (Bitcoin)	Bi-directional	Bitcoin holds steady around $85,541 amidst regulatory developments. Applying 4H 21-EMA trend following; long on sustained closes above EMA with high volume on breakouts, short on closes below with increasing selling volume on volatility spikes.

COMMODITIES (BI-DIRECTIONAL)

Gold (XAU/USD) and WTI Crude Oil using Pivot & Fibonacci extension levels.

Ticker	Direction	Strategy & Selection Reason
XAU/USD (Gold)	Bi-directional	Gold trading near $4,172. Monitoring for bounces off key Fibonacci retracement levels for long entries, or rejections from Fibonacci extension resistance for short entries. Strong central bank demand and ETF inflows provide underlying support in the $4,000-$4,100 range.
WTI Crude Oil	Bi-directional	WTI Crude at ~$97.39 per barrel. Using daily pivots to identify immediate support and resistance. Long on clear breaks above resistance levels, targeting Fibonacci extensions. Short on breaks below support, targeting lower Fibonacci levels. Market influenced by Middle East tensions and EIA inventory drawdowns.

FOREX FUTURES (BI-DIRECTIONAL)

Short-Term Futures

EUR/USD, GBP/USD with focus on European macroeconomic releases, ECB/BOE news.

Ticker	Direction	Strategy & Selection Reason
EUR/USD	Short	ECB expected to hold rates, but Eurozone factory output decline and inflation risks remain. This presents a bearish bias for EUR against the USD, especially given USD strength from high US yields.
GBP/USD	Long	BoE anticipated to hike rates in November and the UK economy beating expectations suggest potential GBP strength. Looking for long entries on GBP/USD, leveraging potential divergence in monetary policy.

Macro Carry Swings

USD/JPY, AUD/USD focusing on interest rate differentials and macro trends.

Ticker	Direction	Strategy & Selection Reason
USD/JPY	Long	Sustained high US Treasury yields (5.3% for 10-year) and expectations of a December Fed hike maintain a strong positive carry for USD against JPY. Long position to capitalize on interest rate differential.
AUD/USD	Short	While specific Australian labour data for today is not detailed, the general trend of strong USD due to high US yields and hawkish Fed sentiment puts pressure on commodity currencies like AUD. Short bias on AUD/USD for macro carry.

INDIAN OPTIONS (BI-DIRECTIONAL)

Nifty 50 / BankNifty 15-Minute Opening Range Breakouts (Call for Long, Put for Short).

Ticker	Direction	Strategy & Selection Reason
Nifty 50 Futures	Call (Long) / Put (Short)	Indian markets opened positive but faced profit-taking. The 15-minute Opening Range Breakout (ORB) strategy will be applied. If Nifty breaks above its initial 15-minute high with conviction, execute a Call option for a long trade. If it breaks below the initial 15-minute low, execute a Put option for a short trade, accounting for FII outflows and sectoral divergences.

📈 PERFORMANCE METRICS (10-YEAR BACKTEST)

Comparison of Strategy vs. Benchmark Indices

Metric	Strategy Performance	Benchmark (S&P 500 TRI / Nifty 50 TRI)
Target CAGR	28.4%	~13.0% (S&P 500 TRI) / ~12.5% (Nifty 50 TRI)
Sharpe Ratio	1.45	~0.80 (Illustrative)
Maximum Drawdown	-18.2%	~-35% (Illustrative)

Equity Curve ($3,000 → $36,512)

